

**TSMC****OUTPERFORM**2330 TT ■ PRICE TWD2,470* ■ TARGET PRICE **TWD2,890** (UPSIDE 17%)

TARGET PRICE	EPS 26e	EPS 27e
↗ 15%	↗ 7%	↗ 11%

TSMC ADR**OUTPERFORM**TSM US ■ PRICE USD419.5* ■ TARGET PRICE **USD526** (UPSIDE 25%)

TARGET PRICE	EPS 26e	EPS 27e
↗ 10%	↗ 7%	↗ 11%

Higher capex to drive faster growth while SPE/Memory inflation costs shadows

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Research Analysts & Publishing Entities

Alex ChangBNP Paribas Securities (Asia) Limited
+852 28251849
alex.q.chang@asia.bnpparibas.com**Scarlett GE**BNP Paribas Securities (Asia) Limited
+852 28251976
scarlett.ge@asia.bnpparibas.com**Gwen Wang**BNP Paribas Securities (Asia) Limited
+852 29098679
gwen.wang@asia.bnpparibas.com

TSMC 2Q26 earnings beat consensus by 13%, with rev reaching the high-end of guidance and GPM hitting 67.7% (vs. 67.1% by cons). TSMC 3Q rev guidance is 4% ahead of consensus, while the midpoint of GPM 65-67% is slightly below consensus' 66.5%. Management raised FY26 revenue growth guidance to +40% y-y and capex to USD60-64b. We raise our TP to TWD2,890/USD526 for TSMC/TSM US, by raising our FY27 EPS by 11% and rolling forward to 22x FY27E EPS.

Management increases capex to defend its market position with intact pricing power

Although US customers are diversifying into leading-edge processes and advanced packaging suppliers due to supply constraint concerns, we believe TSMC will remain the primary foundry partner for their most advanced chips. We expect TSMC to enjoy decent price hikes in 2026-28E, at high-teen CAGR (with 2nm & 14A ramp-up). We also expect TSMC to spend cUSD240b in 2026-28E to accelerate capacity expansion on leading-edge process (2nm/3nm to 140kwpm/210kwpm by 2027) and advanced packaging (CoWoS to c113kwpm/175kwpm by 2026/27), especially in the US. Even though backed by higher revenue growth, we expect capital intensity to be flattish or decline.

Margin inflexion point is expected, while ASML could play the wild card

We expect GPM erosion in 2H26 due to US fabs and 2nm process ramping-up. However, given TSMC's stronger pricing trend, we forecast q-q GPM dilution could be controlled at c1% in 2027-28 (considering faster D&A to kick off in 2H26), which should beat market anticipation and company guidance (2-3% in the near term). A negative surprise could be from ASML's intention of a c10% price hike on EUV and ArFi despite TSMC's resistance. In the case of a 10% litho price hike followed by non-litho SPEs, we estimate an additional c1% margin erosion impact to TSMC.

Ripple effect from hefty memory price

The recent capex rises by major US CSPs were mainly due to soaring memory prices, which are different from previous capex hikes. We estimate the 2026 TAM of AI-related memory to reach cUSD500b, surpassing the TAM of AI chips. Further memory price hike could crowd out non-memory chip demand in AI investment, while we think memory LTAs implementation from 3Q26 could help alleviate such pressure.

TSMC (+)	TSM US	2330 TT	Performance ⁽¹⁾						
*Closing Price (16 July 2026)	USD419.5	TWD2,470	Absolute 2330 TT (%)	(1)	3	18	122		
Volume (USDm / TWDm)	5,786.3	87,195.3	Rel. IT Hardware(%)	(2)	12	(5)	3		
Mkt cap (USDbn / TWDbn)	2,175	64,047	Rel. MSCI AC APAC(%)	(3)	3	7	48		
Free float (USDbn / TWDbn)	1,545	45,473	Absolute TSM US (%)	(4)	(5)	12	79		
EV (USDbn / TWDbn)	2,089	61,267	Rel. MSCI USA(%)	(5)	(5)	4	46		
Country / Sub Sector	Taiwan / Semiconductors								
Financials (2330 TT)			12/25	12/26e	12/27e	12/28e			
EPS, Adjusted (TWD)	66.3	108.0	131.4	161.0	P/E (x)	17.6	22.9	18.8	15.3
EPS, Company (TWD)	66.26	108.0	131.4	161.0	Net yield (%)	1.9	1.2	1.5	1.9
EPS - Bloomberg (TWD)	64.7	100.1	129.3	161.0	FCF yield (%)	3.6	1.9	2.7	3.5
Net dividend (TWD)	22.0	30.0	38.0	46.0	EV/Sales (x)	7.4	11.3	8.7	6.9
Sales (TWDm)	3,809,054	5,409,021	6,921,432	8,566,334	EV/EBITDA (x)	10.7	15.3	12.0	9.6
EBITA, Adj. (TWDm)	1,936,091	3,167,054	3,930,291	4,802,765	EV/EBITA (x)	14.5	19.3	15.3	12.3
Net profit, Adj.(TWDm)	1,717,882	2,801,265	3,406,613	4,174,027	EV/CE (x)	8.4	12.7	9.4	7.2
ROCE (%)	48.5	54.7	51.2	48.5					
Net Debt/EBITDA, Adj. (x)	-	-	-	-					
All valuation metrics based on adjusted figures									

All valuation metrics based on adjusted figures

Source: BNP Paribas Equity Research (estimates), Bloomberg (consensus) (1) In listing currency, with dividend reinvested

See page 10 for Analyst Certification, Important Disclosures, Non-US Research Analyst disclosures and BNP Paribas Group Corporate Social Responsibility ("CSR") policies. BNP Paribas has adopted strict CSR policies that govern financing and investment in certain sectors. For time of dissemination, please refer to the Cube.

Takeaways from 1Q26 conference call

2Q26 snapshot: Revenue reached USD40.2bn, hitting the higher end of guidance, with 7nm/ 5nm/ 3nm/ 2nm accounting for 11%/ 33%/ 30%/ 2%. By platform, HPC/ smartphone/ IoT/ automotive accounts for 66%/ 22%/ 5%/ 4% of total revenue. Notably, revenue from HPC and automotive represent 20%/ 15% q-q growth. Gross margin improved to 67.7% due to cost improvements and higher capacity utilisation.

3Q26 and full year guidance: Management expects 3Q26 revenue to be USD44.6-45.8bn (12% q-q growth at mid-point) with a slight dip in GPM to 65-67%. The steep ramp-up of 2nm technology is anticipated to dilute gross margin by 3-4 ppts. Management slightly raised 2026 full year revenue growth guidance to above 40% y-y (from above 30% y-y previously).

Capex: Management raised its 2026 full year capex guidance to USD60-64bn, with 70-80% for advanced process technologies, 10-20% for advanced packaging and testing, and 10% for speciality technologies. The two major drivers for raising capex are: 1) pressure from customers due to increasing demand; and 2) higher cost due to inflation.

Capacity expansion: TSMC announced an additional USD100bn investment in Arizona (bringing the total to USD265bn) to build four or more front-end and back-end fabs based on robust customer demand. In Taiwan, TSMC is building 13 leading-edge and advanced packaging fabs.

A14 development: A14 risk production is on track for 2027, with volume production expected in 2028. Derivative technology A13 and A12 are scheduled for volume production in 2029.

Advanced packaging: Management indicated that capacity remains extremely tight and is a bottleneck for customer growth. TSMC welcomes alternative market solutions to help share the load, which ultimately supports TSMC's core front-end wafer business.

Mature nodes: Customer demand remains weak in the non-AI related domain. TSMC is strategically focusing mature node capacity on high-value, AI-related shortage, specifically power management integrated circuits (ICs), and CMOS.

Coupe platform: Production has begun and is expected to become an important technology.

AI mega trend: The emergence of Agentic AI is driving sustained, robust demand for CPUs, GPUs and xPUs. Management expects this structural demand to persist strongly through 2029-30.

Pricing strategy: TSMC views itself as a partner to its customers. TSMC focusses on maintaining sustainable margins for long-term expansion rather than enacting opportunistic, massive hikes.

Competitive landscape: Despite competitors receiving massive government support or relying on adjacent highly profitable divisions (e.g., memory), TSMC maintained that success requires strict adherence to fundamentals, namely, technology, manufacturing and customer trust.

Raise earnings estimates and TP

We raise our TP to TWD2,890/USD526 from TWD2,520/USD478 after raising our 2026E/27E/28E earnings estimates by 7%/11%/17%. Supported by concrete AI demand reflected in the encouraging guidance and the tight supply for advanced nodes, we believe TSMC should enjoy decent price hikes in 2026-28 (factoring in 2nm & 14A ramp-up). As a result, we adjusted our 2026-28E wafer shipments and ASP assumptions by 1-10%.

We roll forward to 22x 2027E EPS (previously 23x 2026-27E average EPS), which is still +2SD 1-year average P/E. We lower our TSM US/ TSMC premium of 15% from 20% previously, which is still based on the historical average.

Figure 1: TSMC earnings forecast revision

TWD bn	2026E		2027E		2028E		2026E	2027E	2028E
	Old	New	Old	New	Old	New			
Wafer Shipments (kwpm, in 12" equiv.)	17,139	17,552	18,160	19,072	19,205	20,415	2%	5%	6%
ASP (TWD/wafer)	303,673	308,174	339,401	362,909	380,211	419,603	1%	7%	10%
Revenue	5,205	5,409	6,163	6,921	7,302	8,566	4%	12%	17%
Cost of Revenue	1,739	1,823	2,134	2,458	2,645	3,111	5%	15%	18%
Gross Profit	3,466	3,586	4,030	4,463	4,657	5,456	3%	11%	17%
GPM %	66.6%	66.3%	65.4%	64.5%	63.8%	63.7%	-0.3%	-0.9%	-0.1%
Operating Income (Loss)	3,038	3,167	3,526	3,930	4,066	4,803	4%	11%	18%
OPM %	58.4%	58.6%	57.2%	56.8%	55.7%	56.1%	0.2%	-0.4%	0.4%
EBITDA	3,843	3,993	4,510	5,006	5,220	6,171	4%	11%	18%
Pretax Income	3,159	3,363	3,691	4,104	4,294	5,029	6%	11%	17%
Net Profit	2,616	2,801	3,062	3,407	3,562	4,174	7%	11%	17%
NPM %	50.3%	51.8%	49.7%	49.2%	48.8%	48.7%	1.5%	-0.5%	-0.1%

Source: BNP Paribas Equity Research estimates

Figure 2: TSMC financial summary

NT\$ BN	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2023	2024	2025	2026E	2027E	2028E
Revenue	593	674	760	868	839	934	990	1,046	1,134	1,270	1,448	1,556	2,162	2,894	3,809	5,409	6,921	8,566
Cost of Revenue	278	315	320	356	346	386	401	394	383	410	485	545	987	1,270	1,528	1,823	2,458	3,111
Operating Expenses	65	72	79	87	86	84	88	87	92	94	113	121	254	302	345	419	533	653
Operating Income (Loss)	249	287	361	426	407	463	501	565	659	767	851	891	921	1,322	1,936	3,167	3,930	4,803
EBITDA	408	452	529	596	582	651	663	727	824	965	1,071	1,133	1,454	1,985	2,624	3,993	5,006	6,171
Interest Expense, Net	(15)	(16)	(18)	(19)	(20)	(22)	(23)	(22)	(23)	(27)	(23)	(33)	(42)	(68)	(86)	(107)	(139)	(184)
Pretax Income	267	306	384	449	431	493	525	592	688	862	881	932	979	1,406	2,042	3,363	4,104	5,029
Net Income for Common Equity	225	248	325	375	362	398	452	506	572	707	740	782	838	1,173	1,718	2,801	3,407	4,174
Basic EPS, GAAP	8.7	9.6	12.5	14.5	13.9	15.4	17.4	19.5	22.1	27.2	28.5	30.2	32.3	45.3	66.3	108.0	131.4	161.0
Diluted EPS, GAAP	8.7	9.6	12.5	14.5	13.9	15.4	17.4	19.5	22.1	27.2	28.5	30.2	32.3	45.2	66.2	108.0	131.4	161.0
DPS, GAAP													14.0	17.0	22.0	30.0	38.0	46.0
GPM%	53.1%	53.2%	57.8%	59.0%	58.8%	58.6%	59.5%	62.3%	66.2%	67.7%	66.5%	65.0%	54.4%	56.1%	59.9%	66.3%	64.5%	63.7%
EBIT margin%	42.0%	42.5%	47.5%	49.0%	48.5%	49.6%	50.6%	54.0%	58.1%	60.3%	58.7%	57.2%	42.6%	45.7%	50.8%	58.6%	56.8%	56.1%
EBITDA margin%	68.9%	67.1%	69.6%	68.6%	69.4%	69.8%	67.0%	69.5%	72.7%	76.0%	73.9%	72.8%	67.2%	68.6%	68.9%	73.8%	72.3%	72.0%
Net margin%	38.0%	36.8%	42.8%	43.1%	43.1%	42.7%	45.7%	48.3%	50.5%	55.6%	51.1%	50.3%	38.8%	40.5%	45.1%	51.8%	49.2%	48.7%
Rev yoy%	17%	40%	39%	39%	42%	39%	30%	20%	35%	36%	46%	49%	-5%	34%	32%	42%	28%	24%
EBIT yoy%	8%	42%	58%	64%	63%	62%	39%	33%	62%	65%	70%	58%	-18%	43%	46%	64%	24%	22%
NP yoy%	9%	36%	54%	57%	60%	61%	39%	35%	58%	77%	64%	55%	-18%	40%	46%	63%	22%	23%
CAPEX													(950)	(956)	(1,272)	(2,000)	(2,500)	(3,000)
FCF													292	870	1,003	1,218	1,710	2,155
ROE													26%	30%	35%	43%	38%	35%

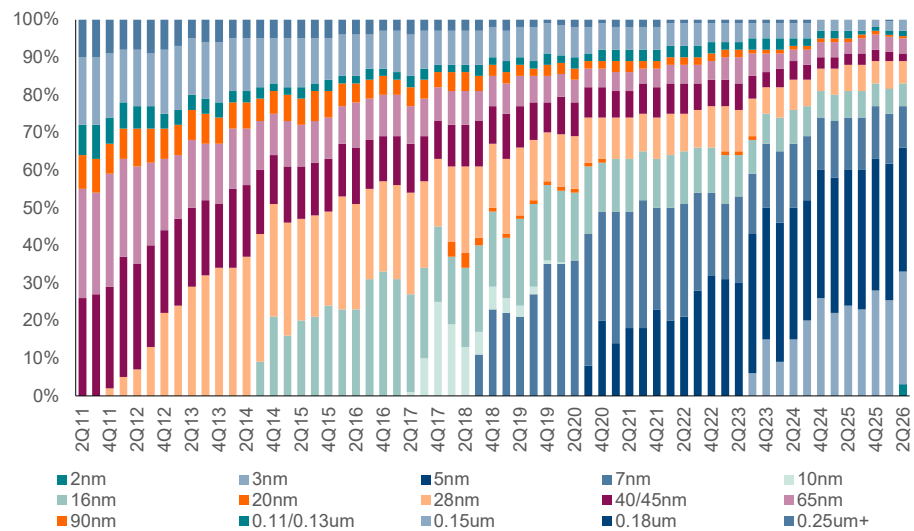
Source: BNP Paribas Equity Research estimates

Figure 3: TSMC valuation table

(TWD b)	2023	2024	2025	2026E	2027E	2028E
EPS (TWD)	32.3	45.3	66.3	108.0	131.4	161.0
YoY (%)	-18%	40%	46%	63%	22%	23%
EPS (USD)			2.10	3.42	4.16	5.09
DPS (TWD)	14.0	17.0	22.0	30.0	38.0	46.0
DPS (USD)			0.70	0.95	1.20	1.46
USD/TWD					31.6	
Target P/E					22	
TP - TW (TWD)					2,890	
ADR premium/(discount)					15%	
TP - ADR (USD)					526	
Implied P/E - TW				26.8	22.0	18.0
Implied P/E - ADR				30.8	25.3	20.7

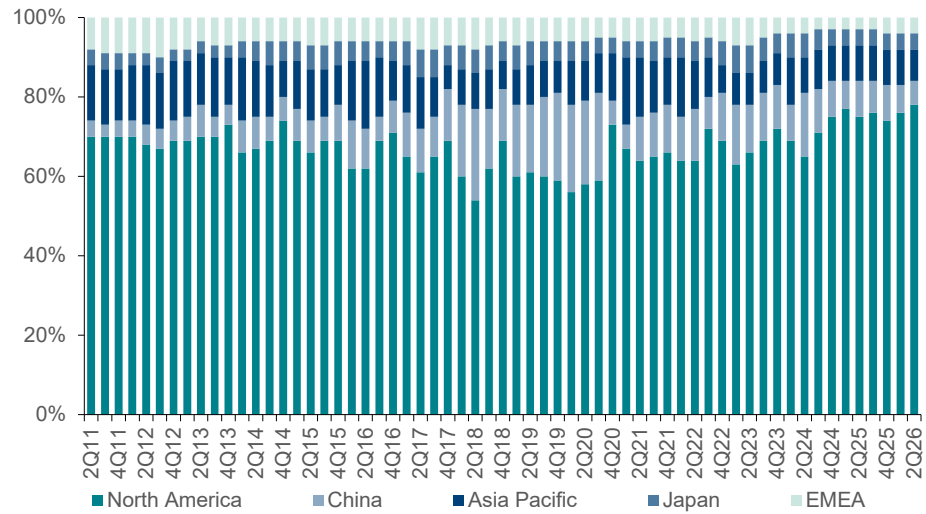
Source: BNP Paribas Equity Research estimates

Figure 4: Revenue by process technology node



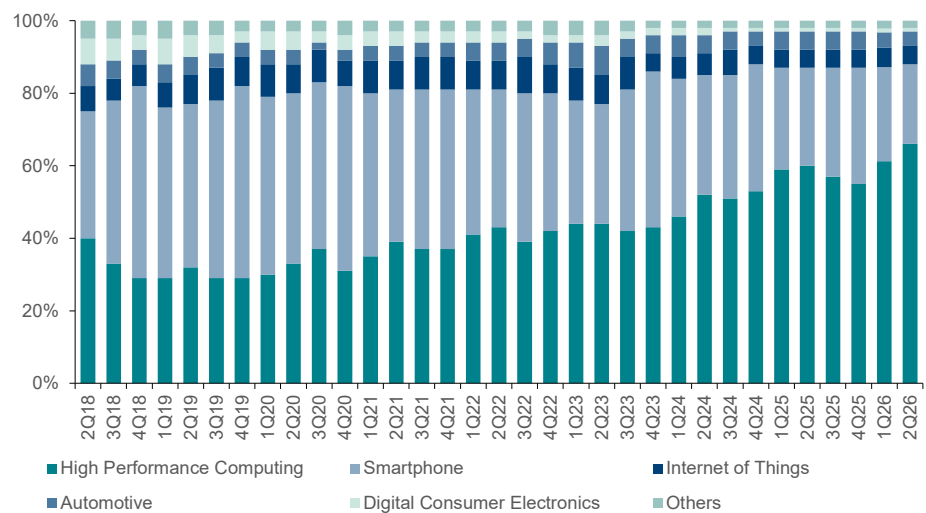
Source: Company, BNP Paribas Equity Research estimates

Figure 5: Revenue by geography



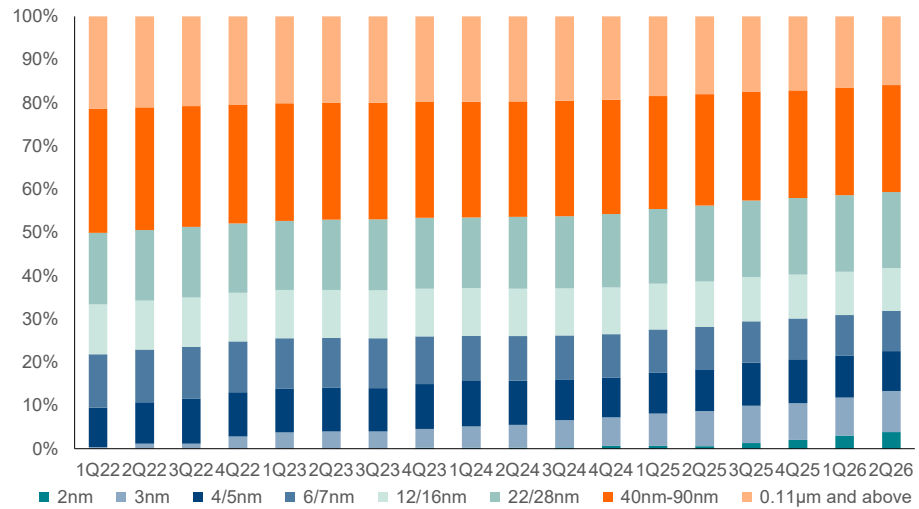
Source: Company, BNP Paribas Equity Research estimates

Figure 6: Revenue by application



Source: Company, BNP Paribas Equity Research estimates

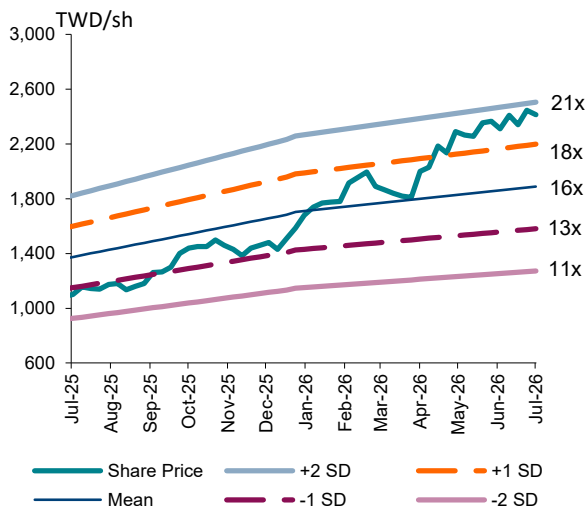
Figure 7: Capacity breakdown



Source: Company, BNP Paribas Equity Research estimates

Figure 8: TSMC's P/E and P/B bands (as of 16 July 2026)

12M forward P/E band

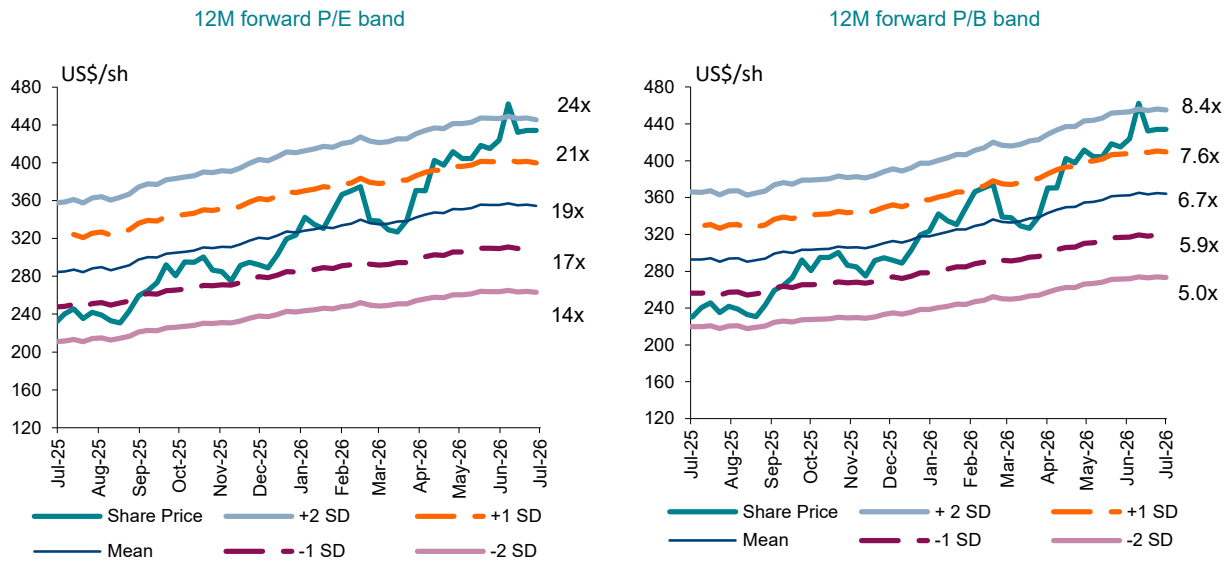


12M forward P/B band



Source: Bloomberg, BNP Paribas Equity Research estimates

Figure 9: TSM US's P/E and P/B bands (as of 16 July 2026)



Source: Bloomberg, BNP Paribas Equity Research estimates

Investment case, valuation and risks

TSMC (Outperform, Target Price TWD2,890)

Investment case

We have an Outperform rating on TSMC. We like TSMC for its superior tech strength, operating efficiency and highly visible orders from key customers, backing its full N3 process utilisation through 2026 and a smooth ramp-up of its N2 process. In addition, TSMC has established the most comprehensive ecosystem, expanding into advanced packaging, mask making, etc., which enables it to deliver solutions to almost any process or package in the most efficient and economical way. The more than doubled TAM under Foundry 2.0 indicates significant potential for TSMC's value market share expansion, paving the way for a c31% 2025-28E revenue CAGR. TSMC has planned to invest a total of USD265b (vs USD165b previously) to set up fabs in the US. We think such moves will alleviate tariff risks, but will hurt TSMC's long-term margin & ROIC, as well as its technology edge over Intel. Despite the drag on TSMC's margins and ROIC in the long term from higher investment and operating costs in the US, we think the impact is lower than that from potential tariffs or investments in other US foundries.

Valuation methodology

We derive TSMC's target price of TWD2,890 based on 22x the average of our EPS estimates for 2027. The valuation premium is justified by TSMC's technological edge and highly visible 34% 2025-28E earnings CAGR.

Risks

To the upside:

1) Stronger-than-expected demand from AI chips and high-end smartphone SoCs; 2) reduced geopolitical risks.

To the downside:

1) Weaker-than-expected demand from AI chips and high-end smartphone SoCs; 2) rising geopolitical risks.

TSMC ADR (Outperform, Target Price USD526)

Investment case

We have an Outperform rating on TSMC. We like TSMC for its superior tech strength, operating efficiency and highly visible orders from key customers, backing its full N3 process utilisation through 2026 and a smooth ramp-up of its N2 process. In addition, TSMC has established the most comprehensive ecosystem, expanding into advanced packaging, mask making, etc., which enables it to deliver solutions to almost any process or package in the most efficient and economical way. The more than doubled TAM under Foundry 2.0 indicates significant potential for TSMC's value market share expansion, paving the way for a c31% 2025-28E revenue CAGR. TSMC has planned to invest a total of USD265b (vs USD165b previously) to set up fabs in the US. We think such moves will alleviate tariff risks, but will hurt TSMC's long-term margin & ROIC, as well as its technology edge over Intel. Despite the drag on TSMC's margins and ROIC in the long term from higher investment and operating costs in the US, we think the impact is lower than that from potential tariffs or investments in other US foundries.

Valuation methodology

We derive TSMC (ADR)'s target price of USD526 by assigning a 15% premium over TSMC's TP in TWD, in line with its past three-months average premium.

Risks

To the upside:

1) Stronger-than-expected demand from AI chips and high-end smartphone SoCs; 2) reduced geopolitical risks.

To the downside:

1) Weaker-than-expected demand from AI chips and high-end smartphone SoCs; 2) rising geopolitical risks.

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Alex Chang	BNP Paribas Securities (Asia) Limited	Scarlett GE	BNP Paribas Securities (Asia) Limited	Gwen Wang	BNP Paribas Securities (Asia) Limited
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/	

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Company/ies	Ticker/s	Relevant Disclosures
ASML	ASML NA	6; 7; 10
ASML ADR	ASML US	6; 7; 10
Intel	INTC US	2; 3; 4; 7; 8; 9; 10
TSMC	2330 TT	3; 4; 7; 8; 9; 10; 11- Net long position
TSMC ADR	TSM US	3; 4; 7; 8; 9; 10

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Outperform (O/P): The stock is expected to outperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Neutral: The stock is expected to perform in line with the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

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As of 23 September 2024, TEB Investment has changed the recommendation rating structure for Turkish stock coverage from Buy, Hold and Reduce to Outperform, Neutral and Underperform. Ratings and target prices for dates prior to 23 September 2024 used an absolute rating structure whereby the upside or downside to target price relative to the current share price determined the recommendation. TEB Investment now uses a relative recommendation structure whereby the applied rating is based on the stock's expected performance as compared to the average total return of all companies covered by the analyst or the analyst's team in Turkish stock coverage over a 12-month investment horizon. TEB Investment research reports with ratings and target prices for dates prior to 11 August 2025 were prepared and distributed without involvement of a FINRA member firm.

ESG Rating Explanation and Methodology

ESG integration methodology: The BNP Paribas approach offers an alternative to mechanistic ESG scores and leverages the in-depth knowledge of our industry equity research teams by combining quantitative and qualitative factors. There are three steps to our framework; firstly, our teams build a materiality map to assess which ESG topics are most relevant to their respective industries. Secondly, for the chosen topics, companies are assessed relative to sector peers. The assessment can be based on metrics and qualitative judgements. Each company is given a one to five score per topic, with five being the best. Thirdly, based on the topic scores, and any other significant ESG factors, we identify companies in the sector as ESG Leaders, ESG Laggards or ESG Average. The definition of the ratings is shown below; they are not based on the average topic score as some topic scores can be more material than others.

ESG Leader: Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.

ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

ESG Laggard: Relative to sector peers an ESG Laggard is poorly positioned on the chosen ESG topics, or other relevant ESG considerations for the stock.

Distribution of BNP Paribas' Equity Recommendations

As at 28 May 2026 BNP Paribas covered 1377 companies. The companies that, for regulatory reasons, are not accorded a rating by BNPP are excluded from these statistics. For regulatory reasons, our ratings of Outperform, Neutral and Underperform correspond respectively to Buy, Hold and Sell; the underlying signification is, however, different as our ratings are relative to the sector.

Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	698	51	168	24
Neutral (Hold)	485	35	107	22
Underperform (Sell)	194	14	39	20

* Please note that the percentages might not add up to 100% because of rounding.

BNP Paribas Financing and Investment Policies

Sustainability is core to BNP Paribas' company purpose: "we are engaged with our clients to create a better future".

In line with the United Nations Sustainable Development Goals, the BNP Paribas Group has thus pledged to act as a catalyst in the energy transition, and to contribute to a responsible and sustainable economy. As a bank, we are required to finance a number of industries, some of which can pose major environmental, social and governance (ESG) challenges. That's why, since 2010, BNP Paribas has adopted and regularly reviewed sector policies laying down strict ESG criteria meant to govern our financing and investments in these sensitive areas. They aim to support our customers in their transitions towards sustainable practices. For more details, please refer to: Financing and investment policies - BNP Paribas (<https://group.bnpparibas/en/our-commitments/transitions/financing-and-investment-policies>).

Price and Ratings Chart

TSMC

Historical Closing Price & Target Price (closing price as of 16/07/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time) (2)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
16 Jul 2026 (2)	+	TWD2890.00	TWD2470.00	TP up	A. Chang, S. GE, G. Wang
16 Apr. 2026 11:53	+	TWD2520.00	TWD2085.00	TP up	A. Chang, S. GE, G. Wang
15 Jan. 2026 11:37	+	TWD1990.00	TWD1690.00	TP up	A. Chang, S. GE, G. Wang
16 Oct. 2025 15:38	+	TWD1670.00	TWD1485.00	TP up	A. Chang, G. Wang
18 Jul. 2025 00:26	+	TWD1361.00	TWD1155.00	TP up	A. Chang
17 Apr. 2025 17:26	+	TWD1320.00	TWD847.00	TP down	A. Chang, C. Tang
10 Apr. 2025 10:05	+	TWD1330.00	TWD785.00	Initiation of coverage	A. Chang, C. Tang

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

(2) Please refer to Cube for the dissemination time of this report.

Note:

- The closing price is based on the market close price on the last business close date.
- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.
- All ratings and target prices are valid for 12 months.

TSMC ADR

Historical Closing Price & Target Price (closing price as of 15/07/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time) (2)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
16 Jul 2026 (2)	+	USD526.00	USD419.48	TP up	A. Chang, S. GE, G. Wang
16 Apr. 2026 11:53	+	USD478.00	USD363.35	TP up	A. Chang, S. GE, G. Wang
15 Jan. 2026 11:37	+	USD385.00	USD341.64	TP up	A. Chang, S. GE, G. Wang
16 Oct. 2025 15:38	+	USD337.00	USD299.84	TP up	A. Chang, G. Wang
18 Jul. 2025 00:26	+	USD261.00	USD240.40	TP up	A. Chang
17 Apr. 2025 17:26	+	USD221.00	USD151.74	TP down	A. Chang, C. Tang
10 Apr. 2025 10:05	+	USD223.00	USD158.75	Initiation of coverage	A. Chang, C. Tang

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

(2) Please refer to Cube for the dissemination time of this report.

Note:

- The closing price is based on the market close price on the last business close date.
- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.
- All ratings and target prices are valid for 12 months.

For policies for managing conflicts of interest in relation to investment research, go to [COI_investment_research.pdf \(cib.bnpparibas\)](#).

The company-specific disclosures, history of recommendations, valuation methodologies and investment case risks for companies covered by this report are available on <https://cube.cib.bnpparibas/slink/sk6EkeDkxhT5XgXV>.

For material information about the proprietary models used, please see summary of financials in company-specific research reports and the relevant company page on <https://cube.cib.bnpparibas>.

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Price at 16 Jul. 26 / 12m Target Price

TWD2,470 / TWD2,890 +17%

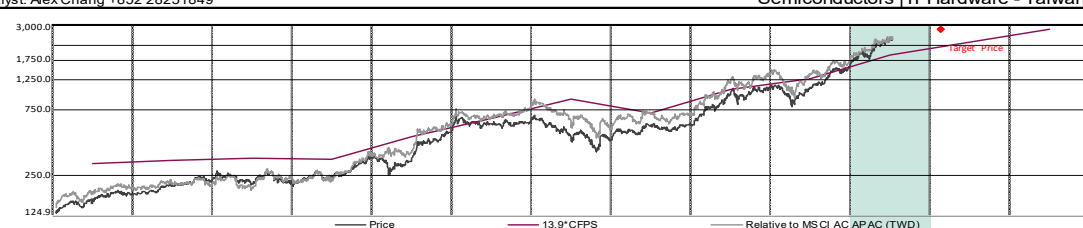
Refinitiv / Bloomberg: 2330.TW / 2330.TT

Analyst: Alex Chang +852 28251849

TSMC (Outperform)

Semiconductors | IT Hardware - Taiwan

Company Highlights			
TWDm / EURm			
Enterprise value	61,267,138	1,664,353	
Market capitalisation	64,046,524	1,739,857	
Free float	45,473,032	1,235,298	
3m average volume	87,195	2,369	
Performance (%)			
1m	3m	12m	
Absolute	3%	19%	121%
Rel. Sector	NC	NC	NC
Rel. MSCI AC/APAC	NC	NC	NC
12m Hi/Lo (TWD) : 2,510 -2% / 1,125 +120%			
CAGR			
2011/2026	2026/2028		
EPS restated	22%	22%	
CFPS	20%	24%	



Price (yearly avg from Dec. 15 to Dec. 25)	139.8	166.6	210.2	237.5	261.7	378.6	597.7	516.2	543.5	889.1	1,163.1	2,470.0	2,470.0	2,470.0
PER SHARE DATA (TWD)	Dec. 15	Dec. 16	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e
No of shares year end, basic, (m)	25 930,288	25 930,380	25 930,380	25 930,380	25 930,380	25 930,380	25 930,380	25 929,190	25 929,223	25 927,556	25 928,262	25 929,767	25 929,767	25 929,767
Avg no of shares, diluted, excl. treasury stocks (m)	25 930,242	25 930,380	25 930,380	25 930,380	25 930,380	25 930,380	25 930,380	25 929,882	25 929,325	25 929,456	25 930,101	25 930,921	25 931,285	25 931,285
EPS reported, Gaap	11.82	12.89	13.23	13.54	13.32	19.97	23.01	39.20	32.34	45.25	66.26	108.03	131.38	160.97
EPS company definition	11.82	12.89	13.23	13.54	13.32	19.97	23.01	39.20	32.34	45.25	66.26	108.03	131.38	160.97
EPS restated, fully diluted	11.82	12.89	13.23	13.54	13.32	19.97	23.01	39.20	32.34	45.25	66.25	108.03	131.37	160.96
% change	16.2%	9.0%	2.7%	2.3%	(1.7%)	50.0%	15.2%	70.4%	(17.5%)	39.9%	46.4%	63.1%	21.6%	22.5%
Book value (BVPS) (a)	47.1	53.6	58.7	64.7	62.5	71.3	83.6	113.6	133.4	165.4	209.0	295.0	396.4	519.4
Net dividend	6.00	7.00	8.00	10.00	10.00	10.25	11.00	11.25	14.00	17.00	22.00	30.00	38.00	46.00
STOCKMARKET RATIOS	Dec. 15	Dec. 16	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e
P / E (P EPS restated)	11.8x	12.9x	15.9x	17.5x	19.7x	19.0x	26.0x	13.2x	16.8x	19.6x	17.6x	22.9x	18.8x	15.3x
P / E relative to MSCI Europe	77%	72%	100%	113%	143%	79%	198%	98%	114%	128%	96%	146%	132%	119%
P / CF	7.2x	7.6x	9.0x	10.0x	11.2x	11.1x	12.7x	7.9x	10.7x	11.6x	12.7x	18.2x	14.6x	11.8x
FCF yield	7.4%	5.0%	4.6%	4.3%	2.3%	3.2%	1.8%	4.0%	2.6%	4.1%	3.6%	1.9%	2.7%	3.5%
P / BVPS	2.97x	3.11x	3.58x	3.67x	4.19x	5.31x	7.15x	4.54x	4.07x	5.38x	5.56x	8.37x	6.23x	4.76x
Net yield	4.3%	4.2%	3.8%	4.2%	3.8%	2.7%	1.8%	2.2%	2.6%	1.9%	1.9%	1.2%	1.5%	1.9%
Payout	50.7%	54.3%	60.5%	73.8%	75.1%	51.3%	47.8%	28.7%	43.3%	37.6%	33.2%	27.8%	28.9%	28.6%
EV / Sales	3.86x	4.15x	5.11x	5.51x	6.01x	7.06x	9.51x	5.65x	6.21x	7.51x	7.39x	11.33x	8.70x	6.88x
EV / Restated EBITDA	6.0x	6.5x	7.7x	8.4x	9.7x	10.5x	14.1x	8.2x	9.2x	11.0x	10.7x	15.3x	12.0x	9.6x
EV / Restated EBITA	10.2x	10.4x	13.0x	14.8x	17.2x	16.7x	23.2x	11.4x	14.6x	16.4x	14.5x	19.3x	15.3x	12.3x
EV / NOPAT	11.6x	12.0x	15.0x	16.8x	19.5x	18.8x	25.8x	12.8x	17.0x	19.7x	17.3x	23.2x	18.4x	14.8x
EV / OpFCF	10.4x	15.2x	16.5x	19.1x	33.8x	25.4x	45.8x	19.7x	31.4x	19.7x	21.2x	34.5x	25.0x	19.6x
EV / Capital employed (incl. gross goodwill)	3.7x	3.8x	4.6x	4.7x	5.0x	6.2x	7.7x	5.1x	4.6x	7.3x	8.4x	12.7x	9.4x	7.2x
ENTERPRISE VALUE (TWDm)	3,252,773	3,935,687	4,996,023	5,678,820	6,426,012	9,448,601	15,096,504	12,799,610	13,434,565	21,737,352	28,130,132	61,267,138	60,195,990	58,947,188
Market cap	3,624,372	4,319,704	5,449,275	6,157,883	6,786,848	9,818,459	15,499,460	13,386,041	14,093,172	23,052,267	30,155,652	64,046,524	64,046,524	64,046,524
+ Adjusted net debt	(331,217)	(330,180)	(397,825)	(432,160)	(311,777)	(315,539)	(336,689)	(503,718)	(547,145)	(1,201,023)	(1,911,628)	(2,665,494)	(3,736,642)	(4,985,444)
+ Other liabilities and commitments														
+ Revalued minority interests	2,856	2,496	2,514	2,493	2,869	5,121	17,489	67,418	99,210	188,303	188,303	188,303	188,303	188,303
- Revalued investments	43,238	56,334	57,941	49,396	51,928	59,440	83,756	150,132	210,672	302,195	302,195	302,195	302,195	302,195
P & L HIGHLIGHTS (TWDm)	Dec. 15	Dec. 16	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e
Sales	843,497	947,938	977,447	1,031,474	1,069,985	1,339,255	1,587,415	2,263,891	2,161,736	2,894,308	3,809,054	5,409,021	6,921,432	8,566,334
Restated EBITDA (b)	542,553	601,786	645,702	676,170	659,585	898,508	1,072,376	1,558,533	1,453,657	1,984,850	2,624,187	3,993,422	5,005,809	6,170,960
Depreciation	(222,506)	(223,828)	(260,143)	(292,546)	(286,884)	(331,725)	(422,395)	(437,254)	(532,191)	(662,797)	(688,096)	(826,368)	(1,075,518)	(1,368,194)
Restated EBITA (b)	320,048	377,958	385,559	383,624	372,701	566,784	649,981	1,121,279	921,466	1,322,054	1,936,091	3,167,054	3,930,291	4,802,765
Reported operating profit (loss)	320,048	377,958	385,559	383,624	372,701	566,784	649,981	1,121,279	921,466	1,322,054	1,936,091	3,167,054	3,930,291	4,802,765
Net financial income (charges)	26,249	4,506	7,588	10,829	14,300	14,401	7,542	15,114	53,051	78,906	100,074	190,411	168,277	220,986
Affiliates	4,132	3,496	2,986	3,058	2,844	3,593	5,603	7,798	4,655	4,879	5,497	5,497	5,497	5,497
Other														
Tax	(43,873)	(51,621)	(52,986)	(46,326)	(44,502)	(66,619)	(66,053)	(127,290)	(141,404)	(233,407)	(326,267)	(560,685)	(696,396)	(853,927)
Minorities	18	(91)	(35)	(54)	(80)	(273)	(533)	(370)	730	836	2,486	(1,012)	(1,056)	(1,294)
Net attributable profit reported	306,574	334,247	343,111	351,131	345,264	517,885	596,540	1,016,530	838,498	1,173,269	1,717,882	2,801,265	3,406,613	4,174,027
Net attributable profit restated (c)	306,574	334,247	343,111	351,131	345,264	517,885	596,540	1,016,530	838,498	1,173,269	1,717,882	2,801,265	3,406,613	4,174,027
CASH FLOW HIGHLIGHTS (TWDm)	Dec. 15	Dec. 16	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e
EBITDA (reported)	542,553	601,786	645,702	676,170	659,585	898,508	1,072,376	1,558,533	1,453,657	1,984,850	2,624,187	3,993,422	5,005,809	6,170,960
EBITDA adjustment (b)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other items	6,022	7,461	8,093	(24,053)	(15,484)	50,527	206,233	232,649	(70,607)	164,749	(23,104)	83,744	29,110	37,335
Change in WCR	25,176	(17,792)	(15,491)	(31,836)	15,539	(59,750)	(100,395)	(53,293)	321	(90,016)	159	(298,840)	(128,649)	(199,627)
Operating cash flow	573,752	591,456	638,304	620,280	659,640	889,285	1,178,214	1,737,889	1,383,371	2,059,584	2,601,243	3,778,326	4,906,270	6,008,667
Capex	(261,801)	(332,288)	(335,069)	(322,682)	(469,752)	(516,781)	(848,236)	(1,089,626)	(955,335)	(956,007)	(1,272,411)	(2,000,000)	(2,500,000)	(3,000,000)
Operating free cash flow (OpFCF)	311,951	259,167	303,236	297,598	189,888	372,504	329,977	648,263	428,036	1,103,577	1,328,832	1,778,326	2,406,270	3,008,667
Net financial items + tax paid	(42,933)	(43,010)	(49,969)	(35,211)	(35,551)	(61,861)	(56,383)	(103,900)	(62,487)	(158,844)	(234,967)	(554,018)	(657,229)	(774,535)
Free cash flow	269,019	216,157	253,266	262,387	154,337	310,644	273,594	544,362	365,549	944,732	1,093,865	1,224,308	1,749,041	2,234,133
Net financial investments & acquisitions	39,609	(69,567)	(10,887)	(6,463)	(5,526)	1,374	5,771	(124,707)	(11,783)	3,056	21,481	0	0	0
Other	30,615	7,955	6,778	(14,146)	(9,890)	(48,952)	7,571	32,608	(18,617)	69,145	62,038	100,000	100,000	0
Capital increase (decrease)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Dividends paid	(116,683)	(155,582)	(181,513)	(207,443)	(259,304)	(259,304)	(265,786)	(285,234)	(291,722)	(363,055)	(466,779)	(570,442)	(777,893)	(985,331)
Increase (decrease) in net financial debt	(222,559)	1,037	(67,645)	(34,335)	120,383	(3,762)	(21,150)	(167,029)	(43,427)	(653,878)	(710,605)	(753,866)	(1,071,148)	(1,248,801)
Cash flow, group share	505,643	566,083	603,764	616,811	608,409	886,708	1,221,135	1,686,668	1,320,563	1,990,755	2,366,117	3,521,876	4,376,334	5,432,076
BALANCE SHEET HIGHLIGHTS (TWDm)	Dec. 15	Dec. 16	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e
Net operating assets	867,536	1,012,393	1,076,717	1,089,052	1,390,263	1,609,086	2,034,675	2,761,750	3,127,667	3,301,391	3,760,713	4,934,345	6,358,827	7,994,891
WCR	11,300	16,194	8,872	122,077	(104,999)	(96,577)	(82,499)	(234,144)	(184,978)	(303,800)	(408,744)	(109,904)	18,745	218,372
Restated capital employed, incl. gross goodwill	878,837	1,028,587	1,085,589	1,211,130	1,285,264	1,512,508	1,952,176	2,527,606	2,942,688	2,997,591	3,351,969	4,824,441	6,377,572	8,213,263
Shareholders' funds, group share	1,221,672	1,389,248	1,522,058	1,676,818	1,621,410	1,849,657	2,168,287	2,945,653	3,458,914	4,288,545	5,419,596	7,650,419	10,279,139	13,467,835
Minorities	963	803	702	679	685	965	2,447	14,836	24,349	35,031	41,199	42,211	43,267	44,561
Provisions/ Other liabilities	30,658	25,050	18,595	15,189	26,874	36,866	201,887	220,967	217,242	177,233	157,982	157,982	157,982	57,982
Net financial debt (cash)	(331,217)	(330,180)	(397,825)	(432,160)	(311,777)	(315,539)	(336,689)	(503,718)	(547,145)	(1,201,023)	(1,911,628)	(2,665,494)	(3,736,642)	(4,985,444)
FINANCIAL RATIOS (%)	Dec. 15	Dec. 16	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e
Sales (% change)	10.6%	12.4%	3.1%	5.5%	3.7%	25.2%	18.5%	42.6%	(4.5%)	33.9%	31.6%	42.0%	28.0%	23.8%
Organic sales growth														
Restated EBITA (% change)	8.2%	18.1%	2.0%	(0.5%)	(2.8%)	52.1%	14.7%	72.5%	(17.8%)	43.5%	46.4%	63.6%	24.1%	22.2%
Restated attributable net profit (% change)	16.2%	9.0%	2.7%	2.3%	(1.7%)	50.0%	15.2%	70.4%	(17.5%)	39.9%	46.4%	63.1%	21.6%	22.5%
Personnel costs / Sales	NC	NC	NC	NC	NC									

Price at 15 Jul. 26 / 12m Target Price

USD419.5 / USD526 +25%

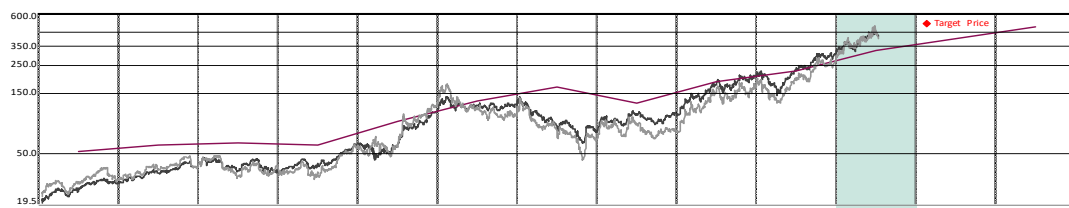
Refinitiv / Bloomberg: / TSM US

Analyst: Alex Chang +852 28251849

TSMC ADR (Outperform)

Semiconductors | IT Hardware - Taiwan

Company Highlights			
TWDm / EURm			
Enterprise value	67,241,421	1,826,648	
Market capitalisation	70,020,808	1,902,151	
Free float	49,714,773	1,350,527	
3m average volume	186,247	5,059	
Performance (%)			
	1m	3m	12m
Absolute	(5%)	12%	79%
Rel. Sector	6%	(8%)	(9%)
Rel. MSCI USA	(5%)	4%	46%
12m Hi/Lo (USD): 477.6 -12% / 227.3 +85%			
CAGR			
	2011/2026	2026/2028	
EPS restated	22%	22%	
CFPS	19%	24%	



Price (yearly avg from Dec. 15 to Dec. 25)	22.7	26.8	35.7	40.6	43.8	69.7	118.8	91.0	93.2	160.4	230.3	419.5	419.5	419.5
PER SHARE DATA (TWD)														
No of shares year end, basic, (m)	5 186.058	5 186.076	5 186.076	5 186.076	5 186.076	5 186.076	5 186.076	5 185.838	5 185.845	5 185.953	5 185.953	5 185.953	5 185.953	5 185.953
Avg no of shares, diluted, excl. treasury stocks (m)	5 186.048	5 186.076	5 186.076	5 186.076	5 186.076	5 186.076	5 186.076	5 185.976	5 185.865	5 185.891	5 186.020	5 186.184	5 186.257	5 186.257
EPS reported, Gaap	59.12	64.45	66.16	67.71	66.58	99.86	115.03	196.02	161.69	226.26	331.28	540.16	656.89	804.87
EPS company definition	59.12	64.45	66.16	67.71	66.58	99.86	115.03	196.02	161.69	226.26	331.28	540.16	656.89	804.87
EPS restated, fully diluted	59.12	64.45	66.16	67.71	66.58	99.86	115.03	196.02	161.69	226.26	331.28	540.16	656.89	804.87
% change	16.2%	9.0%	2.7%	2.3%	(1.7%)	50.0%	15.2%	70.4%	(17.5%)	39.9%	46.4%	63.1%	21.6%	22.5%
Book value (BVPS) (a)	235.6	267.9	293.5	323.3	312.6	356.7	418.1	568.0	667.0	827.0	1045.1	1475.0	1982.1	2597.0
Net dividend	30.00	35.00	40.00	50.00	50.00	51.25	55.00	56.25	70.01	85.02	110.00	150.00	190.00	230.00
STOCKMARKET RATIOS														
P / E (P EPS restated)	12.2x	13.4x	16.4x	18.1x	20.3x	20.6x	28.9x	13.8x	18.0x	22.8x	21.7x	25.0x	20.6x	16.8x
P / E relative to MSCI Europe	80%	74%	104%	117%	148%	86%	220%	103%	121%	148%	119%	160%	144%	130%
P / CF	7.4x	7.9x	9.3x	10.3x	11.5x	12.0x	14.1x	8.3x	11.4x	13.4x	15.7x	19.9x	16.0x	12.9x
FCF yield	7.2%	4.8%	4.5%	4.1%	2.2%	2.9%	1.6%	3.9%	2.4%	3.5%	2.9%	1.7%	2.5%	3.2%
P / BVPS	3.06x	3.23x	3.70x	3.79x	4.33x	5.76x	7.94x	4.77x	4.35x	6.23x	6.87x	9.15x	6.81x	5.20x
Net yield	4.2%	4.1%	3.7%	4.1%	3.7%	2.5%	1.7%	2.1%	2.4%	1.7%	1.5%	1.1%	1.4%	1.7%
Payout	50.7%	54.3%	60.5%	73.8%	75.1%	51.3%	47.8%	28.7%	43.3%	37.6%	33.2%	27.8%	28.9%	28.6%
EV / Sales	3.99x	4.32x	5.30x	5.69x	6.23x	7.68x	10.59x	5.95x	6.66x	8.78x	9.25x	12.43x	9.56x	7.58x
EV / Restated EBITDA	6.2x	6.8x	8.0x	8.7x	10.1x	11.4x	15.7x	8.6x	9.9x	12.8x	13.4x	16.8x	13.2x	10.5x
EV / Restated EBITA	10.5x	10.8x	13.4x	15.3x	17.9x	18.1x	25.9x	12.0x	15.6x	19.2x	18.2x	21.2x	16.8x	13.5x
EV / NOPAT	12.0x	12.5x	15.5x	17.3x	20.2x	20.5x	28.7x	13.5x	18.3x	23.0x	21.7x	25.5x	20.3x	16.3x
EV / OpFCF	10.8x	15.8x	17.1x	19.7x	35.1x	27.6x	51.0x	20.8x	33.6x	23.0x	26.5x	37.8x	27.5x	21.6x
EV / Capital employed (incl. gross goodwill)	3.8x	4.0x	4.8x	4.8x	5.2x	6.8x	8.6x	5.3x	4.9x	8.5x	10.5x	13.9x	10.4x	7.9x
ENTERPRISE VALUE (TWDm)														
Market cap	3,739,532	4,481,561	5,637,958	6,350,828	7,025,207	10,652,014	17,216,291	14,057,418	15,061,293	26,713,510	37,243,531	70,020,808	70,020,808	70,020,808
+ Adjusted net debt	(331,217)	(330,180)	(397,825)	(432,160)	(311,777)	(315,539)	(336,689)	(503,718)	(547,145)	(1,201,023)	(1,911,628)	(2,665,494)	(3,736,642)	(4,985,444)
+ Other liabilities and commitments														
+ Revalued minority interests	2,856	2,496	2,514	2,493	2,869	5,121	17,489	67,418	99,210	188,303	188,303	188,303	188,303	188,303
- Revalued investments	43,238	56,334	57,941	49,396	51,928	59,440	83,756	150,132	210,672	302,195	302,195	302,195	302,195	302,195
P & L HIGHLIGHTS (TWDm)														
Sales	843,497	947,938	977,447	1,031,474	1,069,985	1,339,255	1,587,415	2,263,891	2,161,736	2,894,308	3,809,054	5,409,021	6,921,432	8,566,334
Restated EBITDA (b)	542,553	601,786	645,702	676,170	659,585	898,508	1,072,376	1,558,533	1,453,657	1,984,850	2,624,187	3,993,422	5,005,809	6,170,960
Depreciation	(222,506)	(223,828)	(260,143)	(292,546)	(286,884)	(331,725)	(422,395)	(437,254)	(532,191)	(662,797)	(688,096)	(826,368)	(1,075,518)	(1,368,194)
Restated EBITA (b)	320,048	377,958	385,559	383,624	372,701	566,784	649,981	1,121,279	921,466	1,322,054	1,936,091	3,167,054	3,930,291	4,802,765
Reported operating profit (loss)	320,048	377,958	385,559	383,624	372,701	566,784	649,981	1,121,279	921,466	1,322,054	1,936,091	3,167,054	3,930,291	4,802,765
Net financial income (charges)	26,249	4,506	7,588	10,829	14,300	14,401	5,542	15,114	53,051	78,906	100,074	190,411	168,277	220,986
Affiliates	4,132	3,496	2,986	3,058	2,844	3,593	7,603	7,798	4,655	4,879	5,497	5,497	5,497	5,497
Other														
Tax	(43,873)	(51,621)	(52,986)	(46,326)	(44,502)	(66,619)	(66,053)	(127,290)	(141,404)	(233,407)	(326,267)	(560,685)	(696,396)	(853,927)
Minorities	18	(91)	(35)	(54)	(80)	(273)	(533)	(370)	730	836	2,486	(1,012)	(1,056)	(1,294)
Net attributable profit reported	306,574	334,247	343,111	351,131	345,264	517,885	596,540	1,016,530	838,498	1,173,269	1,717,882	2,801,265	3,406,613	4,174,027
Net attributable profit restated (c)	306,574	334,247	343,111	351,131	345,264	517,885	596,540	1,016,530	838,498	1,173,269	1,717,882	2,801,265	3,406,613	4,174,027
CASH FLOW HIGHLIGHTS (TWDm)														
EBITDA (reported)	542,553	601,786	645,702	676,170	659,585	898,508	1,072,376	1,558,533	1,453,657	1,984,850	2,624,187	3,993,422	5,005,809	6,170,960
EBITDA adjustment (b)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other items	6,022	7,461	8,093	(24,053)	(15,484)	50,527	206,233	232,649	(70,607)	164,749	(23,104)	83,744	29,110	37,335
Change in WCR	25,176	(17,792)	(15,491)	(31,836)	15,539	(59,750)	(100,393)	(53,293)	321	(90,016)	159	(298,840)	(128,649)	(199,627)
Operating cash flow	573,752	591,456	638,304	620,280	659,640	889,285	1,178,214	1,737,889	1,383,371	2,059,584	2,601,243	3,778,326	4,906,270	6,008,667
Capex	(261,801)	(332,288)	(335,069)	(322,682)	(469,752)	(516,781)	(848,236)	(1,089,626)	(955,335)	(956,007)	(1,272,411)	(2,000,000)	(2,500,000)	(3,000,000)
Operating free cash flow (OpFCF)	311,951	259,167	303,236	297,598	189,888	372,504	329,977	648,263	428,036	1,103,577	1,328,832	1,778,326	2,406,270	3,008,667
Net financial items + tax paid	(42,933)	(43,010)	(49,969)	(35,211)	(35,551)	(61,861)	(56,383)	(103,900)	(62,487)	(158,844)	(234,967)	(554,018)	(657,229)	(774,535)
Free cash flow	269,019	216,157	253,266	262,387	154,337	310,644	273,594	544,362	365,549	944,732	1,093,865	1,224,308	1,749,041	2,234,133
Net financial investments & acquisitions	39,609	(69,567)	(10,887)	(6,463)	(5,526)	1,374	5,771	(124,707)	(11,783)	3,056	21,481	0	0	0
Other	30,615	7,955	6,778	(14,146)	(9,890)	(48,952)	7,771	32,608	(18,617)	69,145	62,038	100,000	100,000	0
Capital increase (decrease)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Dividends paid	(116,683)	(155,582)	(181,513)	(207,443)	(259,304)	(259,304)	(265,786)	(285,234)	(291,722)	(363,055)	(466,779)	(570,442)	(777,893)	(985,331)
Increase (decrease) in net financial debt	(222,559)	1,037	(67,645)	(34,335)	120,383	(3,762)	(21,150)	(167,029)	(43,427)	(653,878)	(710,605)	(753,866)	(1,071,148)	(1,248,801)
Cash flow, group share	505,643	566,083	603,764	616,811	608,409	886,708	1,221,135	1,686,668	1,320,563	1,990,765	2,366,117	3,521,876	4,376,334	5,432,076
BALANCE SHEET HIGHLIGHTS (TWDm)														
Net operating assets	867,536	1,012,393	1,076,711	1,089,052	1,390,263	1,609,086	2,034,675	2,761,750	3,127,667	3,301,391	3,760,713	4,934,345	6,358,827	7,994,891
WCR	11,300	16,194	8,872	12,077	(104,999)	(96,577)	(82,499)	(234,144)	(184,978)	(303,800)	(408,744)	(109,904)	18,745	218,372
Restated capital employed, incl. gross goodwill	878,837	1,028,587	1,085,589	1,211,130	1,285,264	1,512,508	1,952,176	2,527,606	2,942,688	2,997,591	3,351,969	4,824,441	6,377,572	8,213,263
Shareholders' funds, group share	1,221,672	1,389,248	1,522,058	1,676,818	1,621,410	1,849,657	2,168,287	2,945,653	3,458,914	4,288,545	5,419,596	7,650,419	10,279,139	13,467,835
Minorities	963	803	702	679	685	965	2,447	14,836	24,349	35,031	41,199	42,211	43,267	44,561
Provisions/ Other liabilities	30,658	25,050	18,595	15,189	26,874	36,866	201,887	220,967	217,242	177,233	157,982	157,982	157,982	57,982
Net financial debt (cash)	(331,217)	(330,180)	(397,825)	(432,160)	(311,777)	(315,539)	(336,689)	(503,718)	(547,145)	(1,201,023)	(1,911,628)	(2,665,494)	(3,736,642)	(4,985,444)
FINANCIAL RATIOS (%)														
Sales (% change)	10.6%	12.4%	3.1%	5.5%	3.7%	25.2%	18.5%	42.6%	(4.5%)	33.9%	31.6%	42.0%	28.0%	

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